expiration date, offering a clear catalyst on one side of the trade with the optionality of a more favorable outcome a distinct possibility.

The business of the arbitrageur, or assiduous analyst in Graham and Dodd parlance, is to find which opportunities are genuine and which are illusory traps. Capital structures that are designed to last forever, like closed-end mutual funds, often divorce the economic interests of investors from control of decision-making; as a result, these can often be a trap, seemingly mispriced but with a discount that may never close. Graham and Dodd provide an excellent introduction to the costs and risks of investing through various investment structures. Chapter 47 discusses "investment trust financing" and lays out how cash fees, preferred stock, conversion privileges, and warrants create differing economics and incentives for deal promoters versus the investing public. As Graham and Dodd recount by carefully calculating the "cost of management" in these vehicles (Chap. 47), such permanent fee-paying arrangements that burden capital might look a lot like arbitrages when they trade at discounts to the value of the assets trapped in the structure, but they may turn out to be value traps. An example of this is the Grayscale Bitcoin Trust (GBTC), a passive trust that has allowed investors, for a 2% annual fee, to gain exposure to Bitcoin in the form of a security, avoiding the difficulties associated with buying and storing Bitcoin directly. GBTC remained a modest product for several years after launching in 2013, but as the price of Bitcoin and other cryptocurrencies soared in 2020, GBTC harnessed the greed of the crypto universe using a marketing pitch that the trust would durably trade at a premium to Bitcoin for economic reasons. Crypto investors were encouraged to buy Bitcoin, deposit it in the trust, and receive locked-up shares of GBTC that would become marketable in six months to "harvest the premium." Once deposited, the assets became subject to a 2% annual fee in perpetuity. While this was appealing to some speculators in the heady days of Bitcoin, the value